

Discrepancies Between Price and Value (*Continued*)

THE PRACTICAL DISTINCTIONS drawn in our last chapter between leading and secondary common stocks have their counterpart in the field of senior securities as between seasoned and unseasoned issues. A seasoned issue may be defined as an issue of a company long and favorably known to the investment public. (The security itself may be of recent creation so long as the company has a high reputation among investors.) Seasoned and unseasoned issues tend at times to follow divergent patterns of conduct in the market, *viz.*:

1. The price of seasoned issues is often maintained despite a considerable weakening of their investment position.
2. Unseasoned issues are very sensitive to adverse developments of any nature. Hence they often fall to prices far lower than seem to be warranted by their statistical exhibit.

Price Inertia of Seasoned Issues. These opposite characteristics are due, in part at least, to the inertia and lack of penetration of the typical investor. He buys by reputation rather than by analysis and he holds tenaciously to what he has bought. Hence holders of long-established issues do not sell them readily, and even a small decline in price attracts buyers long familiar with the security.

Example: This trait of seasoned issues is well illustrated by the market history of the United States Rubber Company 8% Noncumulative Preferred. The issue received full dividends between 1905 and 1927. In each year of this period except 1924 there were investors who paid higher than par for this stock. Its popularity was based entirely upon its reputation and its dividend record, for the statistical exhibit of the company during most of the period was anything but impressive, even for an industrial bond, and